PROPRIETARY AND CONFIDENTIAL

CELLO

Pool Level Collateral Buckets

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Summary

- The goal of this presentation is to present a simple algorithm to bucket pool lists for the purpose of running the Cello conventional prepayment model

- The first step is to bucket the list of pools based on the following pool level collateral characteristics: ticker, origination year, maximal original loan balance, original LTV, current LTV, 100% investor and low FICO

- The second step is to reduce the number of buckets by imposing the following order of priority whenever a pool belongs to more than one of spec pool buckets (maximal original loan balance <= 175K, original LTV > 80, 100% investor or FICO < 700):
  a) current LTV if original LTV > 80
  b) maximal original loan balance if it is at most 175K
  c) 100% investor
  d) FICO buckets if FICO < 700
  e) 417K Max for TBA

- Ticker, Coupon, Origination Year
- Original Maximal Loan Size Buckets: LLB, MLB, HLB, 175K Max, 417K Max, Others
- Weighted Average Original LTV: <= 80, > 80
- 100% Investor: Yes or No
- FICO Buckets: < 620, 620-660, 660-700, >= 700
- Current LTV Buckets: <= 70, 70-80, 80-90, 90-100, 100-110, 110-125, 125-150, 150-175, 175+